

GCE

Economics

H460/03: Themes in economics

A Level

Mark Scheme — Predicted Paper (Advanced)

MARKING INSTRUCTIONS

These are the marking instructions for the predicted paper. Use them in conjunction with the question paper. Alternative correct answers and unexpected approaches should be given marks that fairly reflect the relevant knowledge and skills demonstrated.

INSTRUCTIONS TO EXAMINERS:

A: INDIVIDUAL ANSWERS

- The indicative content indicates the expected parameters for candidates' answers but be prepared to recognise and credit unexpected approaches where they show relevance.
- Using 'best fit', decide first which set of BAND DESCRIPTORS best describes the overall quality of the answer. Once the band is located, adjust the mark concentrating on features of the answer which make it stronger or weaker following the guidelines for refinement.
- Be prepared to use the full range of marks.

B: TOTAL MARKS

- The maximum mark for the paper is 80.
- The quality of the extended response is assessed on parts of the question paper identified with the use of an asterisk (*). The assessment of this skill is embedded within each of the levels of response, and it must be considered when determining the mark to be awarded within the appropriate level.

Levels of Response / Level Descriptors

Level	Knowledge (AO1)	Application (AO2)	Analysis (AO3)	Evaluation (AO4)
Strong	Precise knowledge and understanding of economic ideas, principles, and models.	Ability to apply economic ideas to a specific context, using relevant and focussed examples fully integrated and good use of data where appropriate.	Correct analysis with consistently well-developed links through a coherent chain of reasoning which addresses the question. Any relevant diagram(s) are accurate with no significant errors.	Counter argument(s) are fully developed. A conclusion is drawn weighing up both sides, considering extent and alternatives and reaches a supported judgement.
Good	Mainly accurate knowledge and understanding of economic ideas, principles, and models.	Ability to apply economic ideas to a specific context, using some relevant and focussed examples to the given context and scope of the question.	An explanation of causes and consequences, developing most of the links in the chain of argument. Any relevant diagram(s) are predominantly correct.	Counter argument(s) are fully developed. A conclusion is drawn weighing up both sides/comparing alternatives but without reaching a supported judgement.
Reasonable	Awareness of the meaning of economic ideas, principles, and models.	Ability to apply economic ideas to some elements of the given context, although possibly inconsistent examples not always relevant to the given context.	There is correct analysis in the form of single links. These address the question but are not developed into a clear chain of reasoning. Any relevant diagram(s) may have errors that affect the validity of the analysis.	Counter arguments are considered but not fully developed. Some attempt to conclude, which shows some recognition of the influencing factors, but without considering extent and alternatives.
Limited	Limited awareness of the meaning of economic ideas, principles, and models.	Very little ability to apply economic ideas to some elements of the given context. Examples may be generic or irrelevant to the given context.	There is little evidence of reasoning that addresses the question asked. Simple statement(s) of cause and consequence are	Counter arguments are simply stated. Unsupported statements or assertions, or no evaluation.

			used. Absence of relevant diagram(s) or diagram(s) which have errors that significantly affect the validity of the analysis.	
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SECTION A

Multiple Choice Answer Key

Question	Answer	Question	Answer
1	A	16	B
2	C	17	C
3	C	18	D
4	B	19	A
5	A	20	A
6	C	21	D
7	D	22	A
8	A	23	B
9	B	24	B
10	A	25	A
11	C	26	B
12	C	27	A
13	D	28	D
14	C	29	A
15	B	30	D

Section A — Rationale

Q	Key	Rationale	AO
1	A	A Correct: Under rational expectations with flexible prices, agents anticipate the policy's inflationary effect, so the Phillips curve is vertical — only the price level rises while output is unchanged (policy ineffectiveness proposition). B The natural rate hypothesis implies monetary policy cannot permanently lower unemployment below the natural rate. C In the long run, only prices rise; output returns to the natural level. D Monetary policy does not affect the natural rate of unemployment in the rational expectations framework.	AO1
2	C	A $AD = AS$ determines output but the Keynesian closed-economy identity is $S = I$. B Consumption and investment are separate components of AD. C Correct: In a closed economy with no government, leakages (savings) must equal injections (investment) at equilibrium — $S = I$. D $MPC = 1$ is a limiting assumption, not the equilibrium condition.	AO1
3	C	A Baumol's model assumes managers maximise sales revenue subject to a profit constraint (related but different). B Behavioural theory emphasises 'satisficing' rather than maximisation. C Correct: Williamson's managerial discretion theory: managers maximise their own utility (from staff, perks, discretionary investment) subject to a minimum profit constraint set by shareholders. D Neoclassical theory assumes profit maximisation, not manager utility.	AO1
4	B	A £4 is the difference between MPB and MPC — not the optimal tax. B Correct: Optimal Pigouvian tax = marginal external cost at the socially optimal output = £6 per unit. This internalises the externality. C £10 is MPC, not the externality. D £14 is the price, not the externality.	AO2
5	A	A Correct: $XED = -1.8$ is a large magnitude negative value, indicating the two goods are strong complements — a rise in the price of one sharply reduces demand for the other. Consumers typically buy them together (e.g. cars and fuel). B Close substitutes have a large POSITIVE cross-elasticity of demand, not negative. C Independent goods have XED near zero; a value of 1.8 is far from zero. D Weak complements would have a small magnitude (e.g. -0.3), not -1.8.	AO2
6	C	A Nash equilibrium does not require joint profit maximisation (that is the collusive outcome). B Nash equilibrium can be a non-cooperative outcome. C Correct: At a Nash equilibrium, each firm's strategy is a best response to the others', so no firm can gain by changing strategy alone. D Nash equilibrium is about mutual best responses, not industry output maximisation.	AO1
7	D	A Constant returns to scale give a horizontal $LRAC$. B Diminishing marginal returns is a short-run concept (variable factor), not long-run scale. C Diseconomies give a rising $LRAC$. D Correct: A falling $LRAC$ curve indicates falling long-run average costs as output rises — economies of scale.	AO1

8	A	A Correct: In a perfectly contestable market, incumbents must price at minimum AC and earn only normal profit, because supernormal profit would attract hit-and-run entry. B Incumbents must respond to the credible threat of entry. C Monopoly pricing would invite entry. D Contestability applies to any number of firms; low sunk costs matter more than firm count.	AO1
9	B	A Present bias is a violation of, not evidence of, rational intertemporal choice. B Correct: Present bias means consumers over-weight the present relative to the future, leading to procrastination, under-saving, and impulse consumption. C Cognitive shortcuts (heuristics) are a broader concept. D This describes standard discounted utility, not present bias.	AO1
10	A	A Correct: Real exchange rate growth = nominal growth + foreign inflation – domestic inflation. So $4\% = 6\% + \pi^* - \pi$, giving $\pi - \pi^* = 2$. Domestic inflation was 2 percentage points higher than foreign, partially eroding the nominal appreciation in real terms. B If domestic inflation were lower, the real appreciation would exceed the nominal — the opposite pattern to what is observed. C Magnitude is too large — the gap is 2pp, not 10pp. D Identical inflation would give real appreciation equal to nominal appreciation (both 6%).	AO2
11	C	A At $P = MC$ for a natural monopoly, price is below AC (because LRAC is still falling), so firms cannot earn normal profit. B At $P = MC$ for a natural monopoly, supernormal profit is impossible without a subsidy. C Correct: Natural monopolies have $P = MC < AC$ at the socially optimal level — so firms make a loss and require a subsidy to remain in business. D Minimum AC occurs at a much larger output than the social optimum for a natural monopoly.	AO1
12	C	A This describes the Phillips curve relationship (inflation and output gap). B Real wages and unemployment is a classical relationship, not Okun's law. C Correct: Okun's law: there is an empirical inverse relationship between changes in unemployment and real GDP growth (typically 1pp rise in unemployment corresponds to about a 2% fall in output). D This is the Fisher equation.	AO1
13	D	A A minimum wage between MCL-intersection wage and competitive wage both increases wages AND employment under monopsony. B Employment rises when the minimum wage is between these values. C Minimum wage does affect monopsony outcomes within this range. D Correct: Within the range between the monopsony wage and the competitive wage, imposing a minimum wage flattens the effective MCL (it becomes horizontal at the minimum wage), so the monopsonist will employ more workers at the higher wage — both wages and employment rise.	AO3
14	C	A Incorrect — this would only apply if velocity were stable ($\% \Delta V = 0$) and real GDP growth were 1%. B Incorrect — this would apply if velocity growth were 0% rather than -1%. C Correct: $MV = PY$ in growth rates: $\% \Delta M + \% \Delta V = \% \Delta P + \% \Delta Y$. For price stability ($\% \Delta P = 0$): $\% \Delta M = \% \Delta Y - \% \Delta V = 2\% - (-1\%) = 3\%$. Money supply must grow by 3% to offset the fall in velocity and accommodate real GDP growth.	AO2

		D Incorrect — this would apply if inflation were allowed to be 2% rather than targeted at 0%.	
15	B	A Immediate improvement ignores the J-curve. B Correct: J-curve: current account worsens initially (contracts signed at old prices, inelastic demand) then improves as quantities adjust — provided Marshall-Lerner holds ($PED_x + PED_m > 1$). C Current account does not necessarily worsen permanently — depends on elasticities over different time horizons. D Capital flows affect the exchange rate but not directly the Marshall-Lerner analysis of the current account.	AO1
16	B	A Windfall taxes on supernormal profits are hard to pass through to consumers because they are levied on profits, not output. B Correct: A windfall tax falls on the supernormal profit that was already earned — shareholders (who are typically higher-income) bear the incidence. It cannot be passed on in the short run because it is a tax on profit, not a per-unit cost. C Long-run investment may fall, but short-run impact on supply is limited. D The tax raises revenue, it does not reduce it.	AO3
17	C	A A fall in the Gini coefficient indicates less inequality — shift INWARD. B Constant Gini means no shift. C Correct: A rise in the Gini coefficient (e.g. 0.25 to 0.45) indicates more inequality — consistent with an outward shift of the Lorenz curve. D A fall in Gini (0.45 to 0.40) would be an inward shift.	AO3
18	D	A Incidence depends on relative elasticities, not always equal. B Consumers gain more when demand is inelastic relative to supply. C With inelastic demand, consumers gain most because they are less price-sensitive — the market price falls almost by the full subsidy. D Correct: The relatively inelastic side of the market bears more of the incidence (benefit) of a subsidy. Inelastic demand means consumers capture most of the subsidy through lower prices.	AO3
19	A	A Correct: Hysteresis: prolonged cyclical unemployment causes skill atrophy, loss of attachment to the labour force, and stigma, raising the natural rate of unemployment even after demand recovers. B Disappearance is what no-hysteresis models predict. C Real wage rigidity is a separate friction. D Structural unemployment does not typically fall in recessions.	AO1
20	A	A Correct: Telematics reveal driver quality (hidden type) to the insurer, addressing adverse selection — otherwise safe drivers subsidise dangerous ones, and pull out of the market. B Diminishing returns do not apply here. C Telematics do not directly address monopoly power. D Insurance is not a public good (it is excludable and rival).	AO3
21	D	A This is productive efficiency. B This is allocative efficiency. C This addresses market failure, not the definition of dynamic efficiency. D Correct: Dynamic efficiency: the long-run improvement in productive efficiency and innovation arising from the reinvestment of supernormal profits into R&D, new technology, and new products.	AO1
22	A	A Correct: For profit maximisation across multiple markets, a multi-market monopolist sets output in each market such that MR is equalised and equal to the common marginal cost: $MR_1 = MR_2 = MC$. B Maximising MR in each market is not the correct condition. C Price is higher in the market with more inelastic demand, so prices are	AO1

		deliberately not equalised. D Maximising total revenue is not the same as maximising profit.	
23	B	A H-O model does not predict technology-based specialisation (this is more Ricardian). B Correct: Heckscher-Ohlin: countries export goods intensive in their abundant factor (e.g. labour-abundant countries export labour-intensive goods). C H-O is about factor abundance, not absolute advantage. D H-O predicts trade between countries with DIFFERENT factor endowments.	AO1
24	B	A QE operates on long-term rates via asset purchases; it does not directly reduce the bank rate. B Correct: QE: central bank buys long-dated assets (gilts), lowering long-term interest rates and raising asset prices. The wealth effect stimulates consumption, and lower borrowing costs stimulate investment. C QE does not generally involve printing currency; it credits reserve accounts. D Wage subsidies are fiscal, not monetary, policy.	AO1
25	A	A Correct: Time inconsistency (Kydland-Prescott): a policy that is optimal at one date may not be optimal to implement when that date arrives, because the central bank has incentives to exploit a surprise inflation in the short run, undermining long-run credibility. B This is a coordination issue, not time inconsistency. C This is a transmission lag issue. D This is quantity theory, not time inconsistency.	AO1
26	B	A Recoverable costs do not deter entry (contestable markets). B Correct: A sunk cost cannot be recovered on exit — this raises the cost of entry and creates a barrier to entry (central to contestable market theory). C Sunk costs are narrower than fixed costs: all sunk are fixed, but not all fixed are sunk. D Sunk costs exist in many market structures, not just monopolies.	AO1
27	A	A Correct: An inward shift of LRAS (e.g. lower productive potential or labour shortages) combined with modest AD growth can produce both a negative output gap (actual < new potential) and inflationary pressure as AD pushes up against the lower LRAS. B This would produce a positive output gap and inflation — not a negative output gap. C Both shifting out would reduce, not raise, inflation. D Equal shifts leave output gap unchanged.	AO3
28	D	A HDI does include income (GNI per capita), so this is incorrect. B HDI uses mean and expected years of schooling, not literacy. C HDI uses life expectancy at birth for the whole population, not just children under 5. D Correct: HDI uses a geometric mean of three equally-weighted components (health, education, income), which is a contested simplification — the components may deserve different weights based on context.	AO3
29	A	A Correct: Resource curse: countries rich in natural resources often experience slower growth and weaker institutions — explanations include Dutch disease, rent-seeking, and commodity price volatility. B Resource exhaustion is a separate issue. C This is about consumption, not the resource curse paradox. D Tragedy of the commons is about common-pool overuse, distinct from	AO1

		the resource curse.	
30	D	A These are not the components of the trilemma. B These are macroeconomic objectives but not the open-economy trilemma. C Not the trilemma. D Correct: The Mundell-Fleming impossible trinity: a country can choose at most two of: independent monetary policy, a fixed exchange rate, and free capital movement.	AO1

SECTION B

Question 31

Question	Answer	Marks	Guidance
31	Using the data in Fig. 1.1, calculate the five-firm concentration ratio for the UK personal current account market in 2023. Award 2 marks for correct answer: Five largest firms: Lloyds (23%) + NatWest (17%) + Barclays (13%) + HSBC (12%) + Santander (10%) = 75%	2	Accept 75%. Award 1 mark if working is correct but with arithmetic error. Award 1 mark if % symbol missing.

Question 32

Question	Answer	Marks	Guidance
32	Explain, using the information in Extract 1, how the doctrine of 'too big to fail' may generate moral hazard in the UK banking sector. Award 1 mark for knowledge of moral hazard. Award up to 2 marks for developed application to the banking context. Example: Moral hazard exists where an agent takes excessive risk because they are protected against the negative consequences (1). Because the 'big four' banks hold 75% of current accounts and 85% of SME lending, their failure would cause systemic damage, so the government is likely to bail them out (1). This creates an incentive for banks to take on excessive risk, knowing the taxpayer bears the downside — for example, the £137bn bailout during the 2008 crisis (1). Other valid applications: - Implicit public subsidy of £30bn/year gives banks an artificially lower cost of capital, encouraging leverage and risk. - FSCS guarantees (up to £85,000) reduce depositor discipline on risky banks.	3	AO1 1 mark; AO2 2 marks. Must connect moral hazard to specific banking features (size, systemic importance).

Question 33*

Evaluate, using an appropriate diagram and the information in Extract 1, whether tighter regulation is the most effective way to address market failures in the UK banking sector. [15]

Level / Mark	Descriptor
Level 3 (11–15 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Good application of economic concepts to the context and scope of the question, or some good use of data where appropriate. Strong analysis of the question characterised by consistently well-developed chains of reasoning; relevant diagram(s) which are accurate, integrated into the response and have no errors that affect the validity of the analysis. Strong evaluation of different perspectives on the question characterised by well-developed chains of reasoning; consideration of counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a logical and well supported judgement.
Level 2 (6–10 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Reasonable application of economic concepts to some elements of the given context and scope of the question, although possibly inconsistent or not always relevant. Reasonable analysis of the question characterised by undeveloped chains of reasoning in the form of single links; relevant diagram(s) which have errors that affect the validity of the analysis or are not integrated into the response. Reasonable evaluation of different perspective(s) on the question characterised by some developed chains of reasoning; consideration of counter arguments / assumptions / limitations of theory / factors that determine significance / extent; an unsupported judgement.
Level 1 (1–5 marks)	Reasonable knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Limited application of economic concepts to some elements of the given context and scope of the question. Use of data may be generic or irrelevant. Limited analysis of the question characterised by reasoning that lacks a clear structure and / or does not address the question; simple statement(s) of cause and consequence; absence of relevant diagram(s) or diagram(s) which have errors / omissions that significantly affect the validity of the analysis. Limited evaluation of different perspective(s) on the question characterised by simple statement(s) related to counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a stated judgement, or the absence of a judgement.
0 marks	Response is not worthy of credit.

Guidance

The side of the argument presented first should be credited as Analysis with the other side credited as Evaluation.

Relevant diagrams:

An externality diagram showing the marginal external cost of financial risk-taking (MPC vs MSC, with systemic costs widening the gap at high output), or an oligopoly diagram showing $P > MC$. A Basel-style capital-adequacy diagram may also be appropriate.

Indicative Content

Knowledge

- Moral hazard and asymmetric information
- Externalities (systemic risk as negative externality)
- Oligopoly market structure
- Regulation and government failure
- Financial stability and capital adequacy

Application

- Application: Big four hold 75% of PCA, 85% of SME lending.
- Application: 2008 bailout cost £137bn (long-term cost £27–33bn).
- Application: Implicit public subsidy peaked at £30bn/year.
- Application: Vickers ring-fencing; Basel III CET1 minimum 4.5% (now ~14%).
- Application: SVB UK collapse (March 2023); Credit Suisse forced merger.
- Application: BoE proposed easing rules for smaller banks; FSCS guarantees deposits.

Analysis

- Tighter regulation addresses moral hazard directly: capital adequacy ratios (Basel III) force banks to internalise the cost of risk, raising CET1 from 3–4% pre-crisis to 14% today.
- Ring-fencing (Vickers) separates retail banking from investment banking, shielding taxpayer-backed deposits from speculative trading losses.
- Regulation corrects the systemic-risk externality: without intervention, banks would produce too much risk relative to the social optimum ($MSB = MSC$).
- Stricter rules for systemically important institutions reduce the 'too big to fail' implicit subsidy.
- Deposit guarantees (FSCS £85k) prevent bank runs, adding stability.

Evaluation

- Over-regulation creates government failure: compliance costs (~£5bn/year for UK banks) raise lending rates and reduce credit availability for SMEs.
- Regulation may push risk into the 'shadow banking' sector, where it is less visible and still causes systemic harm (e.g. 2007 Northern Rock relied on non-deposit funding).
- Regulatory arbitrage: banks exploit loopholes; regulators always catch up after the crisis.
- Alternative approaches: structural separation (break up big banks), removing implicit subsidies through clear resolution frameworks, or enhanced market discipline via more rigorous disclosure.
- Pro-competitive policy (encouraging challenger banks, ~25% market share) may be more effective in reducing concentration than tighter rules on incumbents.
- Bail-in tools (rather than bail-outs) align creditors' incentives and remove the need for excessive regulation.

Judgements might include:

- Depends on the source of market failure — moral hazard and systemic risk call for different responses.
- Depends on coordination across international regulators (Basel, FSB) to prevent regulatory arbitrage.
- Depends on the interaction with competition policy — breaking up big banks may achieve similar goals.
- Depends on the credibility of 'no bailout' commitments.
- A blended approach (regulation + competition + structural reform) may be more effective than any one tool.

Question 34

Question	Answer	Marks	Guidance
34	Using the data in Fig. 2.1, calculate the percentage change in the Bank of England's asset purchases between 2009 and 2021. Award 1 mark for identifying figures: 2009 = £200bn; 2021 = £895bn. Award 1 mark for calculation: $(895 - 200) / 200 \times 100$. Award 1 mark for correct final answer: 347.5%.	3	Accept 347.5% or 348%. Award 2 marks if working shown but arithmetic error. Accept answers expressed as 'nearly quadrupled' plus correct figures as 2 marks.

Question 35

Question	Answer	Marks	Guidance
35	Using Extract 2 and Fig. 2.1, identify evidence which suggests that quantitative easing (QE) was effective in stimulating the UK economy between 2009 and 2021. Award 1 mark for relationship. Award 1 mark for supporting evidence. Examples: - BoE research estimated £450bn QE raised GDP by ~2.5% and added 1.5pp to CPI (1+1). - Inflation remained near or above the 2% target in most years, suggesting QE was preventing deflation (1). - Household wealth rose by £1.2tn as asset prices rose following QE (1+1). - Bank rate stayed near 0 while QE expanded from £200bn to £895bn, suggesting QE was the active policy lever (1+1).	2	One mark for relationship, one for use of data. Must link to QE explicitly.

Question 36*

Evaluate, using the information in Extract 2, whether the benefits of quantitative easing (QE) have outweighed its costs for the UK economy. [15]

Level / Mark	Descriptor
Level 3 (11–15 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Good application of economic concepts to the context and scope of the question, or some good use of data where appropriate. Strong analysis of the question characterised by consistently well-developed chains of reasoning; relevant diagram(s) which are accurate, integrated into the response and have no errors that affect the validity of the analysis. Strong evaluation of different perspectives on the question characterised by well-developed chains of reasoning; consideration of counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a logical and well supported judgement.
Level 2 (6–10 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Reasonable application of economic concepts to some elements of the given context and scope of the question, although possibly inconsistent or not always relevant. Reasonable analysis of the question characterised by undeveloped chains of reasoning in the form of single links; relevant diagram(s) which have errors that affect the validity of the analysis or are not integrated into the response. Reasonable evaluation of different perspective(s) on the question characterised by some developed chains of reasoning; consideration of counter arguments / assumptions / limitations of theory / factors that determine significance / extent; an unsupported judgement.
Level 1 (1–5 marks)	Reasonable knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Limited application of economic concepts to some elements of the given context and scope of the question. Use of data may be generic or irrelevant. Limited analysis of the question characterised by reasoning that lacks a clear structure and / or does not address the question; simple statement(s) of cause and consequence; absence of relevant diagram(s) or diagram(s) which have errors / omissions that significantly affect the validity of the analysis. Limited evaluation of different perspective(s) on the question characterised by simple statement(s) related to counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a stated judgement, or the absence of a judgement.
0 marks	Response is not worthy of credit.

Guidance

Indicative Content

Knowledge

- Quantitative easing (QE) and its transmission mechanisms
- Central bank independence
- Monetary policy at the zero lower bound
- Distributional effects of monetary policy
- Fiscal-monetary interaction
- Democratic accountability of technocratic bodies

Application

- Application: QE expanded from £0 to £895bn (40% of GDP) by end-2021.
- Application: BoE estimated 2009–12 QE raised GDP by 2.5% and CPI by 1.5pp.
- Application: Resolution Foundation estimated £1.2tn wealth gain, with top 10% capturing 40%.
- Application: Treasury indemnity cost of QE unwinding estimated up to £150bn.
- Application: House of Lords report described QE as creating 'fragility'.

Analysis

- Benefits: QE countered the zero lower bound — when bank rate reached 0.1%, QE provided further monetary stimulus, preventing deflation and supporting output.
- Transmission mechanism evidence: lower long-term rates, higher asset prices, wealth effects, bank liquidity — BoE research suggests each channel contributed to the 2.5% GDP boost.
- Avoided a 1930s-style depression during COVID: QE expanded by £150bn in 2020 alone.
- Supported fiscal policy (e.g. furlough) by keeping government borrowing costs low.
- Signalling effect: commitment to loose policy anchored expectations and supported confidence.

Evaluation

- Distributional costs: QE boosted asset prices, disproportionately benefiting the wealthiest 10% (who captured 40% of the £1.2tn gain) — may have worsened wealth inequality.
- Moral hazard: QE reduced the discipline on governments to undertake structural reform, as it artificially lowered borrowing costs.
- Fiscal cost: Treasury indemnity may cost up to £150bn over the decade as the Bank sells at a loss.
- Central bank independence and accountability: QE blurs monetary and fiscal policy; there is no democratic vote on the scale of intervention.
- Created financial fragility — the sudden rise in rates from 0.1% to 5.25% has been more damaging than it would have been with lower starting debts.
- QE benefits may have diminished over time — the 2020 round may have generated more inflation than growth.
- Alternative policies (helicopter money, targeted lending schemes) might have been more effective at stimulating consumption of low-income households.

Judgements might include:

- Depends on the counterfactual: without QE, how deep would the recession have been?
- Depends on the distributional weights placed on inequality versus aggregate output.
- Depends on how easily QE can be unwound (QT process).
- Depends on interaction with fiscal policy and structural reforms.
- Short-run benefits may be clear; long-run costs (inequality, fiscal dominance) only now becoming evident — verdict highly time-horizon dependent.

Question 37

Question	Answer	Marks	Guidance
37	Using Fig. 3.1, compare development in Sub-Saharan Africa with that of advanced economies in 2023. Award 1 mark for identifying a similarity or measure/direction. Award 1 mark for second comparison with data. Examples: - Sub-Saharan Africa has much lower development indicators than advanced economies across all three measures (1). - GDP per capita gap: \$4,210 in SSA vs \$56,360 in advanced economies — SSA earns about 7% of the advanced-economy level (1). - HDI: 0.547 (low human development) vs 0.896 (very high). - Extreme poverty: 35.0% in SSA vs <0.5% in advanced economies.	2	1 mark for direction; 1 mark for supporting data. Accept either similarity-focused or difference-focused comparison if supported by data.

Question 38

Evaluate, using the information in Extract 3, the most effective strategies for reducing extreme poverty in Sub-Saharan Africa. [8]

Level / Mark	Descriptor
Level 2 (5–8 marks)	Good knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Good application of economic concepts to the context and scope of the question, or some good use of data where appropriate. Strong analysis of the question characterised by consistently well-developed chains of reasoning; relevant diagram(s) which are accurate, integrated into the response. Strong evaluation of different perspectives on the question characterised by well-developed chains of reasoning; consideration of counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a logical and well supported judgement.
Level 1 (1–4 marks)	Reasonable knowledge and understanding of relevant economic idea(s), principle(s) or model(s). Reasonable application of economic concepts to some elements of the given context and scope of the question, although possibly inconsistent or not always relevant. Reasonable analysis of the question characterised by undeveloped chains of reasoning in the form of single links; relevant diagram(s) which have errors.

	Limited evaluation of different perspective(s) on the question characterised by simple statement(s) related to counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a stated judgement or the absence of a judgement.
0 marks	Response is not worthy of credit.

Indicative Content

Knowledge

- Economic development and growth
- Human Development Index
- Poverty measurement and causes
- Aid, debt relief, trade, and foreign direct investment
- Remittances and brain drain
- Institutions and governance

Application

- Application: Global extreme poverty rose 8.0% → 8.4% (2019–23).
- Application: SSA has 60% of world's extreme poor; GDP per capita \$1,720.
- Application: Child mortality 72/1000 (SSA) vs 4/1000 (developed).
- Application: Debt servicing > health + education combined in 25 developing countries.
- Application: Remittances \$669bn (> FDI) but fees at 6.3%.
- Application: Mean years of schooling rose 4.4 → 6.0 years in SSA.

Analysis

- Strategies that could work: Investment in education (already showing progress — schooling years up 36% since 2000) raises productivity and labour market participation.
- Health investment reduces child mortality and raises life expectancy, boosting the working-age population.
- Debt relief can free up fiscal resources: 25 developing countries spend more on debt than health + education combined.
- Reducing remittance costs (6.3% → 3% target) could raise effective transfers by around £20bn annually.
- FDI and trade access create jobs and technology transfer.
- Institutional reform (governance, rule of law) is critical for long-term growth.

Evaluation

- Aid dependency risks — unconditional aid may distort incentives and undermine institutions.
- Debt relief without conditions may lead to repeat borrowing cycles.
- Brain drain offsets gains from education — skilled workers emigrate.
- External shocks (commodity prices, US rate rises, climate) are outside developing country control.
- Resource curse in oil/mineral-rich SSA countries limits the effectiveness of export-led strategies.
- Rising global inequality (billionaire wealth +34%) means top-down redistribution may matter more than any single in-country strategy.

Judgements might include:

- Depends on country-specific constraints (conflict, climate, landlocked geography).
- Depends on global conditions (dollar strength, trade access).
- Depends on quality of institutions and governance.
- A multi-pronged approach (education + health + debt relief + trade + remittance costs) is likely most effective.
- No single policy is sufficient; effectiveness depends on sequencing and coordination.

ASSESSMENT OBJECTIVES GRID

Question	AO1	AO2	AO3	AO4	TOTAL	Quantitative Skills
Section A Total	15	7	8		30	(13)
31		2(2)			2	(2)
32	1	2			3	
33*	2(2)	3(2)	4(2)	6(2)	15	(8)
34	2(2)	1(1)			3	(3)
35	1(1)	1(1)			2	(2)
36*	2	3	4	6	15	
37		2(2)			2	(2)
38	1	1	2	4	8	
Section B Total	9	15	10	16	50	(17)
Paper Total	24	22	18	16	80	(30)